



FROM OPERATING EARNINGS TO SHAREHOLDER RETURNS:

**DECONSTRUCTING THE FINANCIAL EVOLUTION
OF MERCEDES-BENZ
2021–2025**

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Contents

1. Executive Summary	4
2. Business Overview	4
2.1 Business model	4
2.2 Business segments	4
2.3 How Mercedes-Benz makes money	4
2.4 Major structural changes	5
3. Five-Year Financial Performance.....	5
3.1 Income statement	5
3.1.1 Revenue: from pricing-led growth to volume and mix pressure.....	5
3.1.2 Profitability: the operating leverage is now working in reverse	5
3.2 Balance sheet and financial structure	6
3.3 Cash flow.....	6
3.4 Preliminary financial interpretation.....	6
4. Operating Performance	6
4.1 Unit Volumes: From Post-Spin-Off Stability to Volume Contraction	6
4.2 Product Mix: Can Mix Offset Lower Volumes?.....	7
4.3 Cars vs. Vans: A Structural Margin Divergence.....	7
4.4 Analytical Takeaway.....	8
5. Revenue Drivers	9
5.1 Group Revenue: From Growth to Contraction	9
5.2 Cars: Volume, Pricing and Mix	9
5.3 Geographic Revenue Pressure	10
5.4 Revenue Quality	10
6. Profitability Analysis	10
6.1 Group Profitability and the Earnings Mix Shift	11
6.2 The Mobility Cushion	11
6.3 Return on Invested Capital (ROIC).....	12
7. China Analysis	13
7.1 Volume Contraction and Competitive Dynamics	13
7.2 The BBAC Equity and Component Channels	13
7.3 Mix and Pricing Implications.....	14
8. Electrification: The Volume and Capital Mismatch	15
8.1 BEV Sales and the 2025 Reality Check	15
8.2 Capital Intensity and the Transition Burden.....	15
8.3 Profitability Friction and Return on Capital.....	16
9. Capital Allocation & Shareholder Returns	16
9.1 Industrial Free Cash Flow	16
9.2 Capital Allocation and Shareholder Returns.....	16
9.3 Industrial Liquidity and Financial Flexibility	17
10. Working Capital and Cash Conversion.....	17
10.1 Adjusted Cash Conversion Rate: A Segment Divergence	18

10.2 Analytical Cash Conversion Cycle.....	18
10.3 Analytical Conclusion.....	19
11. Peer Comparison: The Premium Benchmark	19
11.1 Total Volume and the Electrification Gap	19
11.2 The China Stress Test	20
11.3 Profitability and Margin Compression	20
11.4 Analytical Conclusion.....	20
12. Outlook and Valuation	21
12.1 2026 Operating Outlook	21
12.2 Capital Position and Shareholder Returns.....	21
12.3 Valuation Framework	22
12.4 Investment Questions / Outlook.....	22
Sources and Methodology	23
Primary Company Sources	23
Publication Date.....	23
Disclosures and Disclaimer	23

1. Executive Summary

Mercedes-Benz entered **2025** with a much weaker earnings profile than it had at the start of the post-Daimler Truck period. The balance sheet, though, remained flexible. Across the five years, the pricing, mix and cost discipline that supported earnings in **2021–2023** stopped being enough to absorb lower volumes, weaker net pricing, geographic pressure and a capital-heavy technology transition in **2024–2025**.

Revenue and profitability. Group revenue climbed from **€133.9bn** in **2021** to **€152.4bn** in **2023**, then fell to **€132.2bn** in **2025**. Group adjusted EBIT moved the other way: **€20.7bn** in **2022**, **€8.2bn** in **2025**. The adjusted EBIT margin fell from approximately **13.8%** to **6.2%**. Cars bore most of the damage, with adjusted RoS down to **5.0%**, Vans held at **10.2%**.

Operating performance. Cars volumes dropped **9%** to **1.80m** units in **2025**. Top-End still represented **15%** of Cars sales. Mix and pricing protected revenue per vehicle, but not enough to cover lost volume and the accompanying loss of operating leverage. Vans followed a different path: revenue per vehicle rose by roughly **25%** over **2021–2025**, while adjusted RoS stayed above **10%** in **2025**.

China and electrification. China was the main geographic drag. Cars sales fell **19.2%**, accounting for approximately **72%** of the net global Cars volume decline, and BBAC equity-method earnings fell from **€1.073bn** to **€0.761bn**. Electrification also ran below the original strategic trajectory: xEV penetration reached **20.5%** in **2025**, while BEV deliveries fell to **168,823** from the **2023** peak of **240,668**. Group R&D remained **€9.7bn**, PP&E plus intangible-asset additions reached **€9.7bn**.

Returns, cash and liquidity. Analytical Cars + Vans ROIC fell from **32.6%** in **2022** to **11.2%** in **2025**. NOPAT margin did most of the damage, falling from **9.9%** to **4.0%**, while capital turnover slipped from **3.30x** to **2.78x**. Industrial FCF fell to **€5.4bn**, but lower inventories supported cash conversion and the analytical Group CCC improved from **64.0** to **60.2** days. Cars posted a **1.2x** adjusted CCR, Vans fell to **0.6x**. Even after lower FCF and continued investment, net industrial liquidity rose to **€32.2bn**, and **€4.5bn** was returned directly to **Mercedes-Benz Group AG** shareholders during **2025**.

Overall assessment. **Mercedes-Benz** still has substantial liquidity, a differentiated product portfolio and meaningful cash-generation capacity. The five-year record also sets a clear limit: mix and pricing cannot fully defend earnings when volumes, regional competition and net pricing all deteriorate at once. The financial question is whether the Group can turn its product, software and electrification spending into enough volume, margin and return before a prolonged period of operating pressure consumes the benefit of its capital discipline.

2. Business Overview

2.1 Business model

Over the period under review, **Mercedes-Benz** has reshaped the business around a more selective luxury proposition that the company calls the “Economics of Desire.” The formula is straightforward: emphasize desirable products, protect pricing, lean into mix and take cost out rather than chase volume for its own sake. The **2025** reporting again pointed to Top-End sales momentum and strict cost control. Increasingly, the strategy rests on a technology stack spanning battery-electric vehicles, electrified internal-combustion vehicles, software and advanced driver assistance systems.

2.2 Business segments

Mercedes-Benz Cars remains the Group’s principal operating segment, with passenger vehicles across Entry, Core and Top-End categories. Capital and strategic attention are deliberately tilted toward the higher-value end of the range. In **2025**, Top-End vehicles accounted for **15%** of Cars unit sales, or approximately **268,000** vehicles.

Mercedes-Benz Vans serves both commercial and private-use customers across premium and commercial applications. Its earnings profile is different from Cars, and it has held up better through the recent downturn in Group profitability.

Mercedes-Benz Mobility provides financing, leasing, insurance and related financial services. The economics are distinct from vehicle manufacturing: portfolio scale, funding costs, credit risk and residual values drive the result. The report therefore treats Mobility separately rather than folding its financing liabilities into conventional industrial debt.

2.3 How Mercedes-Benz makes money

Vehicle economics, at the simplest level, are volume x revenue per vehicle. Revenue per vehicle moves with pricing, product mix, geography and foreign exchange. **Mercedes-Benz** tries to lift that figure through a higher-value sales mix, especially Top-End products, while avoiding the discounting that would normally compensate for weaker demand. Vans adds commercial

mix, upfitting and fleet economics to the framework. Mobility is different again, earning from the financed or leased vehicle portfolio, interest income and expenses, credit losses and residual-value outcomes.

2.4 Major structural changes

The main structural break in the five-year dataset is the Daimler Truck separation completed in **2021/2022**. **Mercedes-Benz** is consequently best viewed as a post-separation luxury cars, vans and financial-services group, not as a direct continuation of the old Daimler conglomerate. Later reporting separates Cars, Vans and Mobility, while the annual reports provide the comparatives needed to build a consistent five-year Cars + Vans analytical series.

Portfolio reshaping is the second major shift. **Mercedes-Benz** has pulled back from lower-value body styles and directed more investment toward Core and Top-End products. The same product cycle is being used to introduce new electric architectures and a common technology stack, including MB.OS.

3. Five-Year Financial Performance

3.1 Income statement

The five-year record breaks neatly into two periods. From **2021–2023**, strong pricing, favorable mix and cost discipline lifted earnings. From **2024**, and more sharply in **2025**, lower volumes and weaker pricing quality began to pull down both revenue and operating margin.

3.1.1 Revenue: from pricing-led growth to volume and mix pressure

Revenue rose **12.0%** in **2022** to **€150.0bn** despite a difficult operating backdrop. **Mercedes-Benz** attributed most of the increase to materially better pricing at Cars and Vans, the value-over-volume strategy was working. Revenue edged up again to **€152.4bn** in **2023**, then fell **4.5%** in **2024** and another **9.2%** in **2025**. For **2024**, **Mercedes-Benz** cited lower unit sales, unfavourable product and market mix and negative net pricing. In **2025**, tariffs and foreign-exchange headwinds added to the pressure, while China remained a major volume drag.

3.1.2 Profitability: the operating leverage is now working in reverse

Adjusted EBIT has fallen much faster than revenue. Group adjusted EBIT peaked at **€20.7bn** in **2022**, stayed near **€20.0bn** in **2023**, then dropped to **€13.7bn** in **2024** and **€8.2bn** in **2025**. The adjusted EBIT margin compressed from roughly **13.8%** in **2022** to approximately **6.2%** in **2025**.

Exhibit 1: How Did Group Revenue and Adjusted EBIT Reset After 2022?

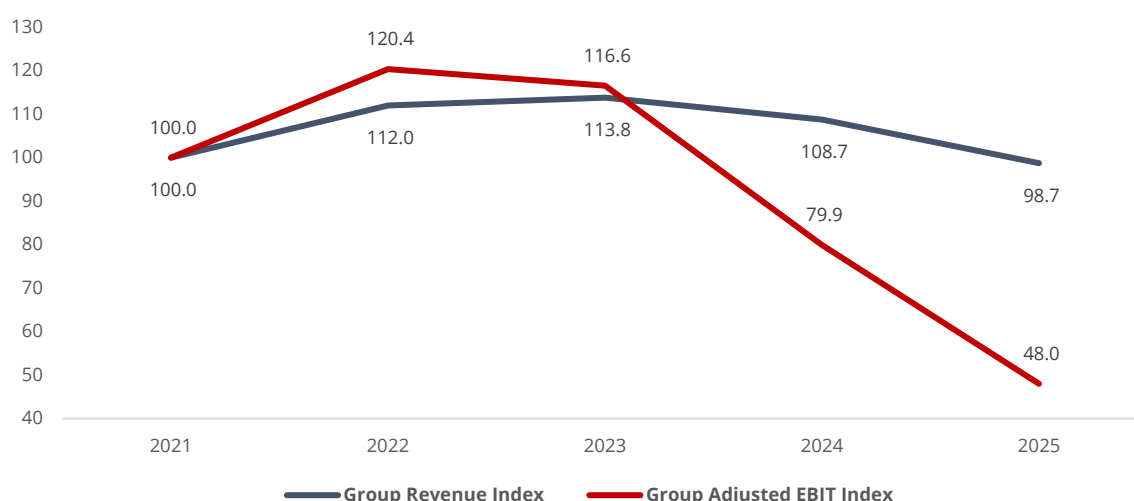


Exhibit 1 shows that five-year reset on an indexed basis, with **2021** as the base year.

Cars carries most of the compression. Adjusted RoS fell from **14.6%** in **2022** to **5.0%** in **2025**. Vans was steadier, moving from its **15.1%** peak in **2023** to **10.2%** in **2025**. That spread frames the central portfolio question: can mix still offset weaker total volumes once pricing support fades?

3.2 Balance sheet and financial structure

Read the balance sheet in two pieces: the industrial operating business and Financial Services. Mobility's financing liabilities belong to a financial-services model and are not directly comparable with manufacturing debt. The analysis instead centers on Group liquidity, industrial net liquidity, operating working capital and the capital employed by Cars and Vans.

3.3 Cash flow

Cash generation stayed an important support even as accounting profitability deteriorated. Industrial free cash flow rose from **€7.9bn** in **2021** to **€11.3bn** in **2023**, then fell to **€9.2bn** in **2024** and **€5.4bn** in **2025**. **Mercedes-Benz** attributed part of the **2025** industrial FCF outcome to lower inventories, offset by net investment in property, plant and equipment and intangible assets.

The cash record gives a less one-dimensional picture of **2025** than EBIT alone. Industrial free cash flow remained positive, and industrial net liquidity rose to **€32.2bn**, leaving room for dividends and share buybacks while preserving a substantial liquidity buffer. But the drop from the **2023** FCF peak is material: cash conversion could not neutralize lower earnings plus continued investment.

3.4 Preliminary financial interpretation

Three points stand out. Pricing and mix lifted revenue and margins even without strong volume growth, particularly in **2022–2023**. The **2024–2025** period exposed the limit of that protection once volume, pricing and geographic mix all moved against the Group. And the balance sheet still looks materially stronger than the income statement: industrial liquidity is high and cash generation remains positive, even though returns on operating capital have fallen sharply.

4. Operating Performance

Macro conditions do not explain the full **2024–2025** deterioration. The period acts as a stress test of the “Economics of Desire” strategy: **Mercedes-Benz** preserved premium positioning and mix, yet those advantages did not cover lower volumes, negative net pricing, model changes and weaker operating leverage.

4.1 Unit Volumes: From Post-Spin-Off Stability to Volume Contraction

After the spin-off, Cars and Vans stayed in a relatively tight volume band through **2022–2023**. The break came in **2024–2025**, when both businesses contracted.

- **Mercedes-Benz Cars:** Cars peaked at **2.04 million** vehicles in **2023** (**2,043,800** units), versus **2.04 million** in **2022** (**2,040,700** units). Deliveries then fell to **1.98 million** in **2024** (**1,983,403** units) and **1.80 million** in **2025** (**1,801,291** units), a **9%** year-over-year contraction.

- **Mercedes-Benz Vans:** Vans deliveries rose from **386,200** units in **2021** to **415,300** in **2022** and **447,800** in **2023**. They then fell to **405,610** units in **2024** and **359,136** units in **2025**, down **11%** (approximately 11.5% unrounded).

Exhibit 2: How Did Cars and Vans Volumes Evolve After 2023?

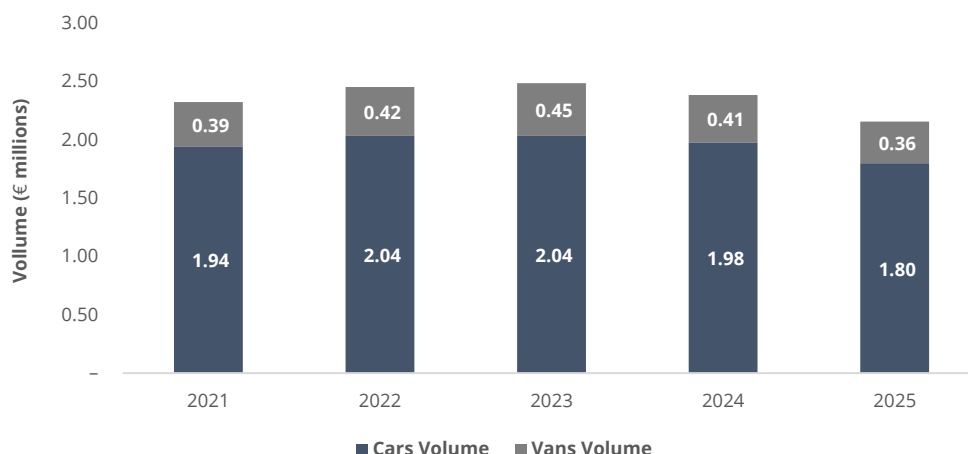


Exhibit 2 shows the Cars and Vans volume paths across **2021–2025**.

The **2025** decline was broad-based, but China mattered most. **Mercedes-Benz Cars** sales there fell **19%** to **551,900** vehicles. North America dropped **12%** to **320,600**, and Asia overall fell **16%** to **747,000**. Europe was comparatively stable, down **1%** to **634,600**. **Mercedes** attributed the weakness to intense competition in China, structural shifts and rapid growth among new market participants. In the United States, tariffs and deliberate dealer stock management added pressure, product launches and planned model changes also shifted delivery timing.

4.2 Product Mix: Can Mix Offset Lower Volumes?

Across **2021–2023**, Top-End vehicles held a **16%** share of total Cars deliveries. That share slipped to **14%** in **2024**, then recovered to **15%** in **2025**. The recovery was relative, not absolute. Top-End deliveries fell **5%** to **268,026** units in **2025** from **281,492** units in **2024**. The share rose from **14%** to **15%** because total Cars volumes fell faster, with both Core and Entry down **10%**. Mix still provided protection. It did not provide enough. In **2025**, negative pricing, tariffs and operating deleverage hit at the same time as lower volumes, and mix could not neutralize the combined earnings effect.

4.3 Cars vs. Vans: A Structural Margin Divergence

Mercedes-Benz Cars suffered severe margin compression despite retaining a relatively high Top-End mix. Adjusted RoS fell from **13.1%** in **2021** and **14.6%** in **2022** to **12.6%** in **2023**, **8.1%** in **2024** and **5.0%** in **2025**. Adjusted EBIT dropped from **€16,245m** in **2022** to **€4,773m** in **2025**. **Mercedes-Benz** attributed the **2025** decline to lower unit volumes, particularly in China, negative net pricing, tariffs and foreign-exchange headwinds, partly offset by internal efficiency measures. Vans held its margin much better. Adjusted RoS rose from **8.3%** in **2021** to **11.2%** in **2022** and peaked at **15.1%** in **2023**, above Cars. In **2025**, Vans delivered double-digit adjusted RoS for the fourth consecutive year: **10.2%**, with Adjusted EBIT of **€1,755m**. Lower unit sales and negative pricing were absorbed through favorable mix and improved product substance. eVans reached a **7.9%** share of Vans sales, while eVan unit sales increased **46%** year over year. The gap matters. Cars remained the larger automotive earnings contributor at **€4,773m** versus **€1,755m** for Vans, but its earnings power eroded quickly. Vans, despite an **11%** volume decline in **2025**, kept adjusted RoS above **10%**, supported by favorable mix, improved product substance and continued cost discipline. Across Cars + Vans, revenue rose from **€111.4bn** in **2021** to **€133.0bn** in **2023**, then fell to **€127.1bn** in **2024** and **€113.6bn** in **2025**. Combined adjusted EBIT fell from **€18.2bn** in **2022** to **€17.3bn** in **2023**, **€11.5bn** in **2024** and **€6.5bn** in **2025**. The combined automotive adjusted margin moved from **14.1%** in **2022** to **13.0%** in **2023**, **9.1%** in **2024** and **5.7%** in **2025**. The issue is no longer simply premium mix. It is whether that mix can hold enough operating margin when volume, pricing and fixed-cost absorption all deteriorate together.

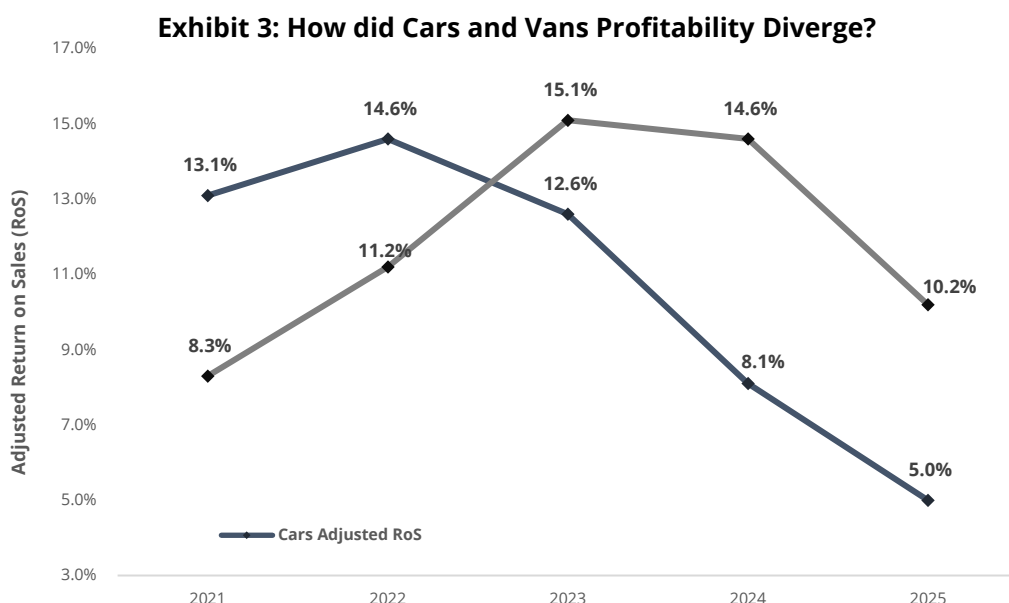


Exhibit 3 compares Cars and Vans adjusted RoS,

Exhibit 4: How Much Automotive Margin Has Mercedes-Benz Lost Since 2022?

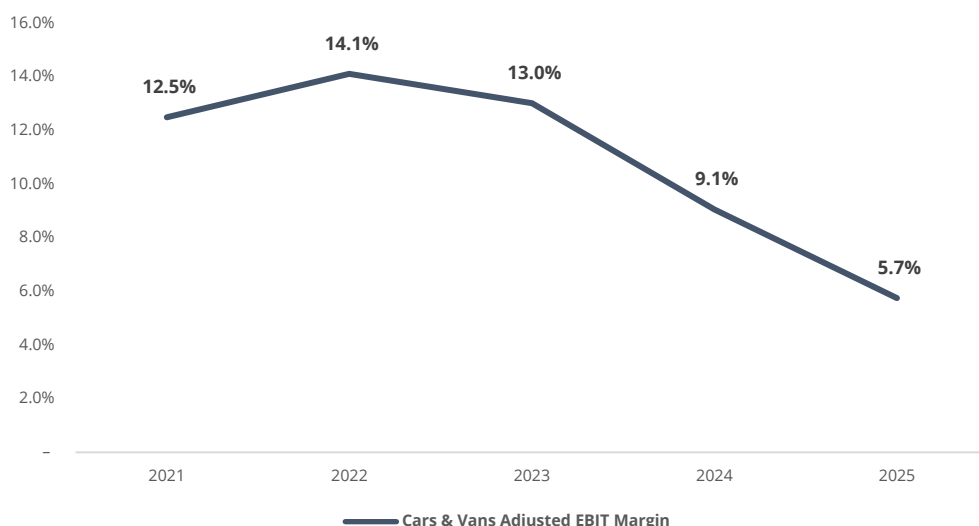
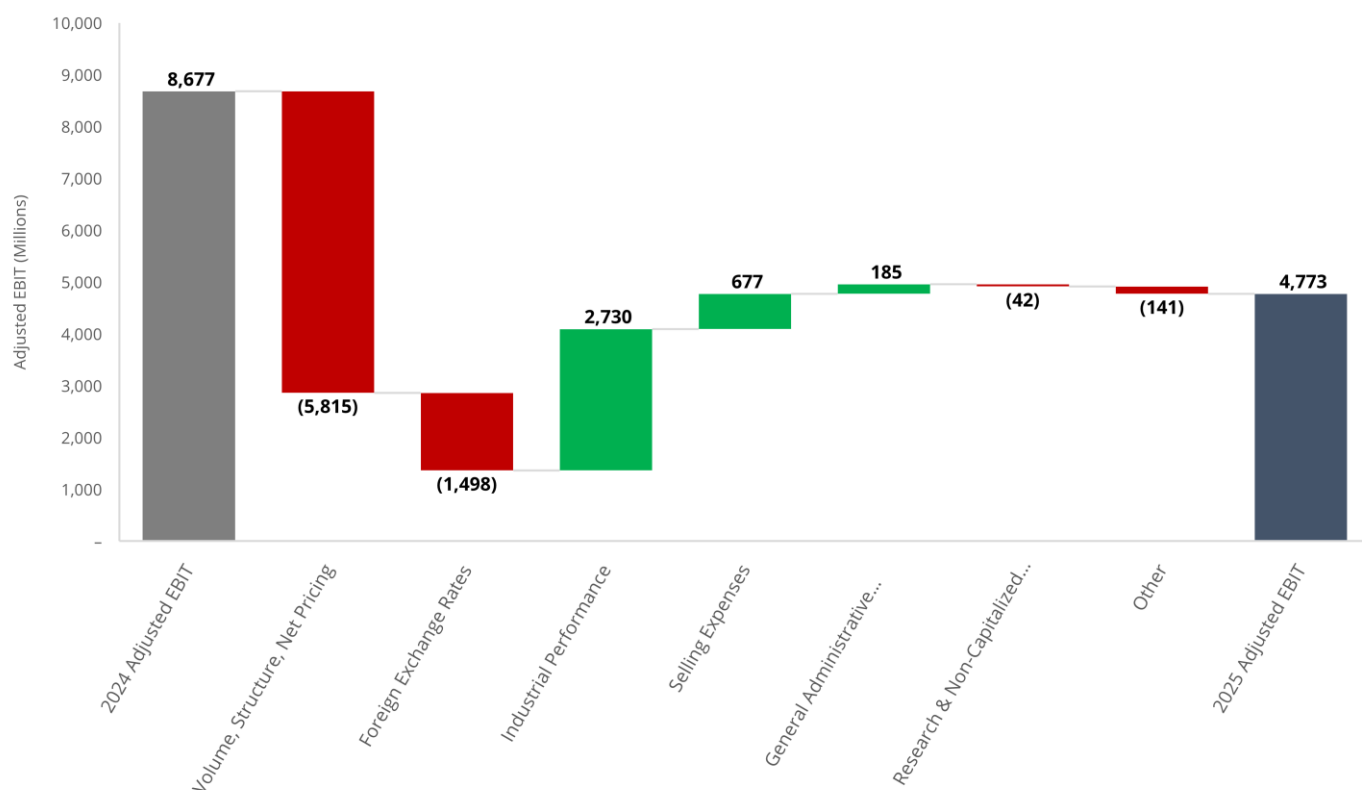


Exhibit 4 extends the view to the combined automotive adjusted margin, and **Exhibit 5** shows the detailed **2024–2025** Cars adjusted EBIT bridge.

Exhibit 5: What Drove Mercedes-Benz Cars EBIT Lower in 2025?



4.4 Analytical Takeaway

Core Operating Synthesis. The **post-2023** volume picture weakened materially, but **Mercedes** retained real mix protection. That protection had a ceiling. In Cars, lower volumes, negative net pricing and weaker operating leverage overwhelmed it. Vans remained much more resilient on margin, but it was too small to replace the absolute earnings lost in Cars.

5. Revenue Drivers

Section 4 explains the volume decline, but not the full earnings drop. The missing pieces are volume, pricing, mix and foreign exchange. They need to be separated to see what actually drove the top-line contraction.

5.1 Group Revenue: From Growth to Contraction

Group revenue rose from **€133.9bn** in **2021** to **€150.0bn** in **2022** and a **€152.4bn** peak in **2023**. The turn came after that: **€145.6bn** in **2024**, then **€132.2bn** in **2025**. **Mercedes-Benz** attributed the **€13.4bn 2024–2025** contraction mainly to lower unit sales, negative net pricing, unfavourable exchange-rate movements and lower component business with **Beijing Benz Automotive Co., Ltd. (BBAC)**. Tariffs added cost-of-sales pressure. The pricing backdrop that helped drive the **2021–2023** expansion had clearly become less supportive, leaving the Group more exposed to competition.

5.2 Cars: Volume, Pricing and Mix

The revenue problem sits squarely in **Mercedes-Benz Cars**. Segment revenue fell from **€112.8bn** in **2023** to **€107.8bn** in **2024** and **€96.4bn** in **2025**. The test for the “Economics of Desire” strategy is straightforward: did revenue quality hold as volume fell?

- **Revenue per vehicle:** Calculated segment revenue per unit rose from roughly **€49,800** in **2021** to approximately **€55,200** in **2023**, then eased to roughly **€54,400** in **2024** and **€53,600** in **2025**.
- **The Mix Effect:** That relative stability points to meaningful revenue-quality protection from mix and pricing, even as units declined.
- **Net Pricing and Cost Leverage:** Average revenue per unit is not the same thing as margin. **Mercedes** explicitly disclosed negative net pricing effects in **2025**. Add lower absolute volume and the fixed-cost absorption works against the business, operating leverage turns negative. That combination explains the sharp **2025** fall in Cars Adjusted EBIT. Volume, negative pricing and unfavourable market mix outweighed the company's internal industrial performance and cost-efficiency measures.

Exhibit 6: Did Revenue per Vehicle Rise as Volumes Fell?

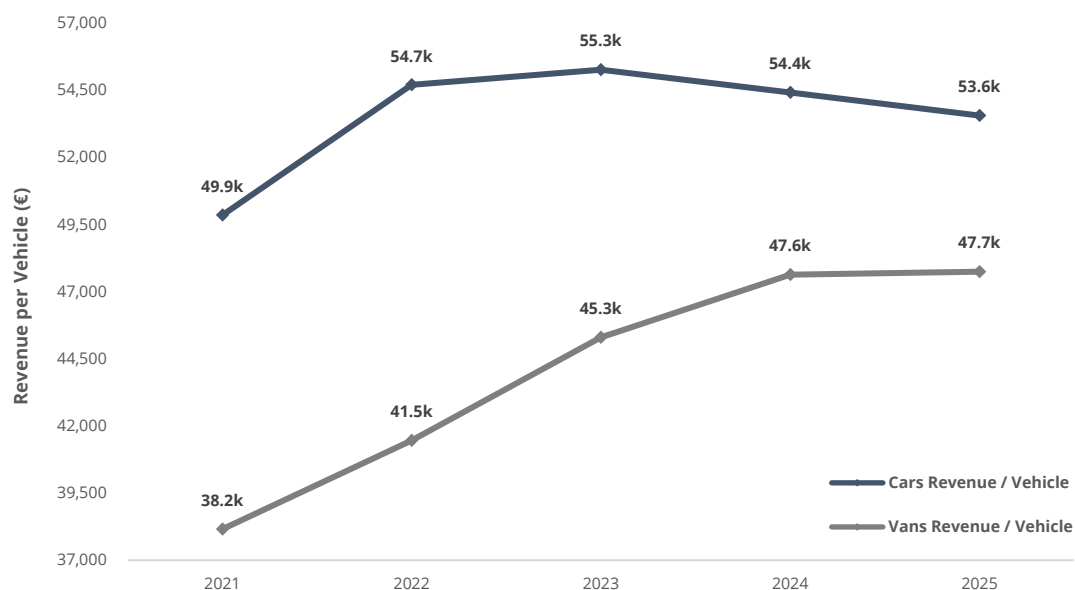


Exhibit 6 tracks revenue per vehicle against the volume contraction.

5.3 Geographic Revenue Pressure

The geography of the **2025** volume decline makes the Cars problem more specific. It was not evenly distributed. China matters twice: as a large unit market and as an important outlet for Top-End products. A sharp Chinese volume decline can therefore hit both aggregate deliveries and regional mix. The country also feeds Group earnings through the equity-method investment in **Beijing Benz Automotive Co., Ltd. (BBAC)**, creating an additional channel beyond consolidated vehicle sales. North American volume fell **12%**, which **Mercedes** attributed to deliberate dealer stock management and tariffs. Europe was nearly flat at **-1%**. The current volume pressure is therefore concentrated in overseas markets where domestic competition and structural demand shifts are most acute.

Exhibit 7: Where Was Mercedes-Benz's Volume Exposure Most Severe?

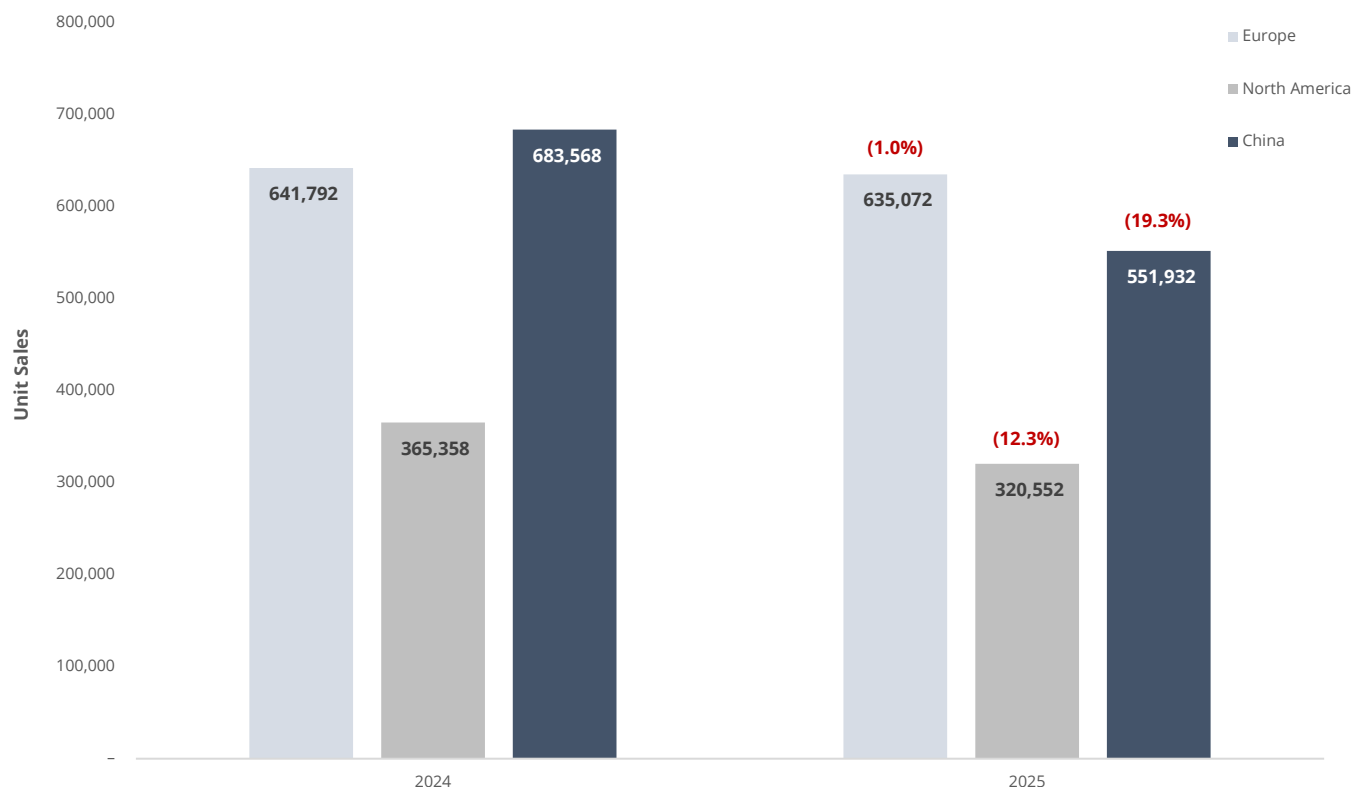


Exhibit 7 summarizes that regional exposure.

5.4 Revenue Quality

The five-year revenue-per-vehicle series shows two very different businesses. For Cars, calculated revenue per vehicle fell from its **2023** peak of roughly **€55,200** to **€53,600** in **2025**, while absolute volume dropped from **2.04m** to **1.80m** units. **Mercedes-Benz** lost units, but it also lost some of the revenue intensity it had reached at the peak. Vans moved the other way. Revenue per vehicle increased by approximately **25%**, from roughly **€38,200** in **2021** to **€47,700** in **2025**, even as unit volumes fell in **2024–2025**. Favorable mix, improved product substance and pricing discipline help explain why Vans kept double-digit adjusted RoS. The economics are plainly different. Cars retained relatively high revenue per vehicle but gave back some of that intensity after **2023**. Vans continued to increase revenue per vehicle despite declining deliveries.

6. Profitability Analysis

The contraction in revenue detailed in **Section 5** hit earnings harder than the top line suggests. Automotive manufacturing carries a large fixed-cost base, so lower volume plus negative net pricing creates negative operating leverage. The Group is not uniform, though. Cars, Vans and Mobility show different earnings behavior, with Vans and Mobility providing relative margin resilience and diversification as Cars earnings collapsed.

6.1 Group Profitability and the Earnings Mix Shift

Group Adjusted EBIT fell from **€20.7bn** in **2022** to **€8.2bn** in **2025**. The Group Adjusted EBIT margin followed, dropping from approximately **13.8%** to **6.2%**. The size of the decline is only part of the story. The earnings mix also changed materially.

In **2022**, **Mercedes-Benz Cars** generated **€16.2bn** of Adjusted EBIT, or **78.6%** of Group operating profit. By **2025**, Cars Adjusted EBIT was **€4.8bn** and its share had fallen to **58.0%**.

Exhibit 8: How Has Group Adjusted EBIT Mix Shifted Since 2021?

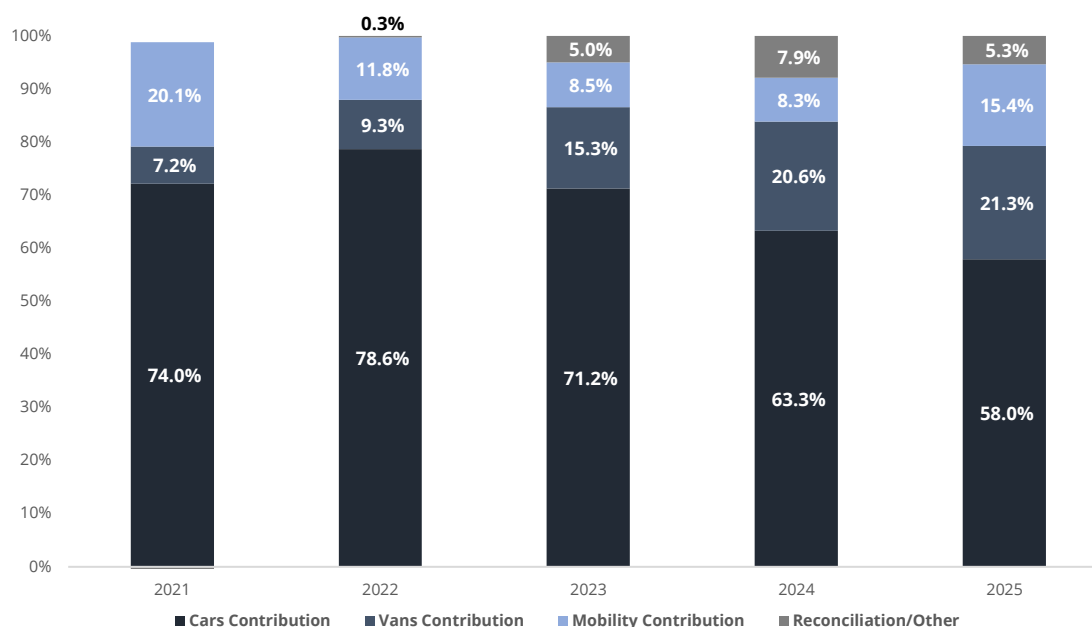


Exhibit 8 shows the shift in adjusted EBIT contribution across Cars, Vans, Mobility and reconciliation items.

Vans absorbed part of the earnings shock because its margin profile proved more durable. Adjusted EBIT was **€1.8bn** in **2025**. That is still small beside Cars, but Vans' weight in the Group increased sharply: from **7.2%** of Group Adjusted EBIT in **2021** to **21.3%** in **2025**. Its absolute adjusted EBIT declined in **2025**, its contribution rose because Cars fell much faster.

6.2 The Mobility Cushion

Mercedes-Benz Mobility is a different economic engine from the industrial business. Its **€128.8bn** contract and financing portfolio generates earnings through interest income, funding costs and credit risk rather than vehicle-manufacturing margins.

Exhibit 9: How Has Mobility Profitability Normalized Since 2021?

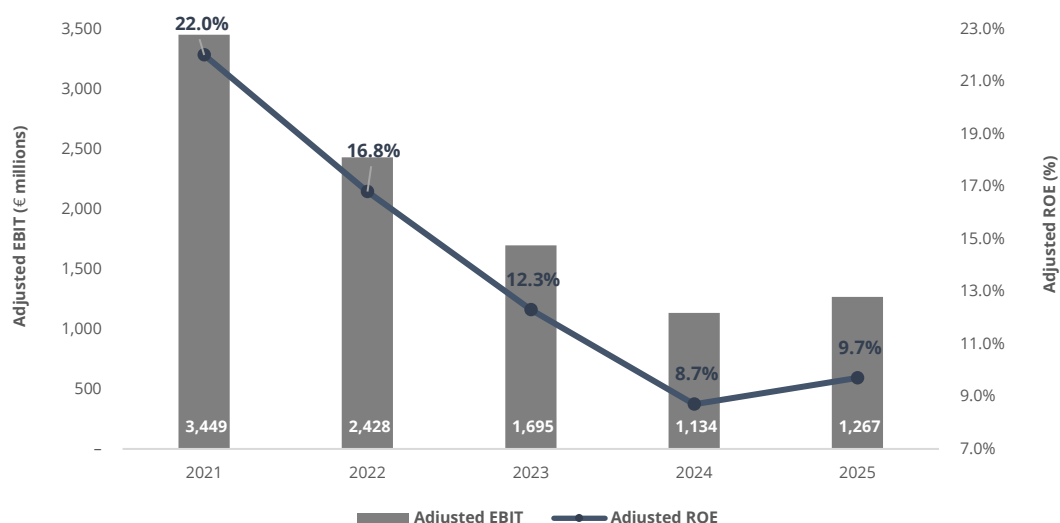


Exhibit 9 shows the normalization in Mobility adjusted EBIT and adjusted ROE.

Mobility's profitability normalized through **2021–2025** from unusually strong post-pandemic levels. Adjusted ROE fell from **22.0%** in **2021** to **8.7%** in **2024**, then steadied at **9.7%** in **2025**. At the same time, credit-risk expense moved from a **€112m** benefit in **2021** to a **€685m** expense in **2025**, while residual-value effects also turned negative.

The pressure did not erase Mobility's profitability. Its financing scale and recurring earnings added useful diversification. In **2025**, adjusted EBIT increased to **€1.267bn** despite higher credit-risk costs, lifting Mobility's contribution to Group adjusted EBIT to **15.4%** as the automotive businesses weakened.

6.3 Return on Invested Capital (ROIC)

To measure the return produced by vehicle manufacturing, the analysis isolates **Mercedes-Benz Cars** and **Vans** and removes Mobility from both the operating-profit numerator and invested-capital denominator. The denominator uses **Mercedes-Benz's** disclosed average net assets for Cars and Vans.

Exhibit 10: Which ROIC Driver Deteriorated Most?

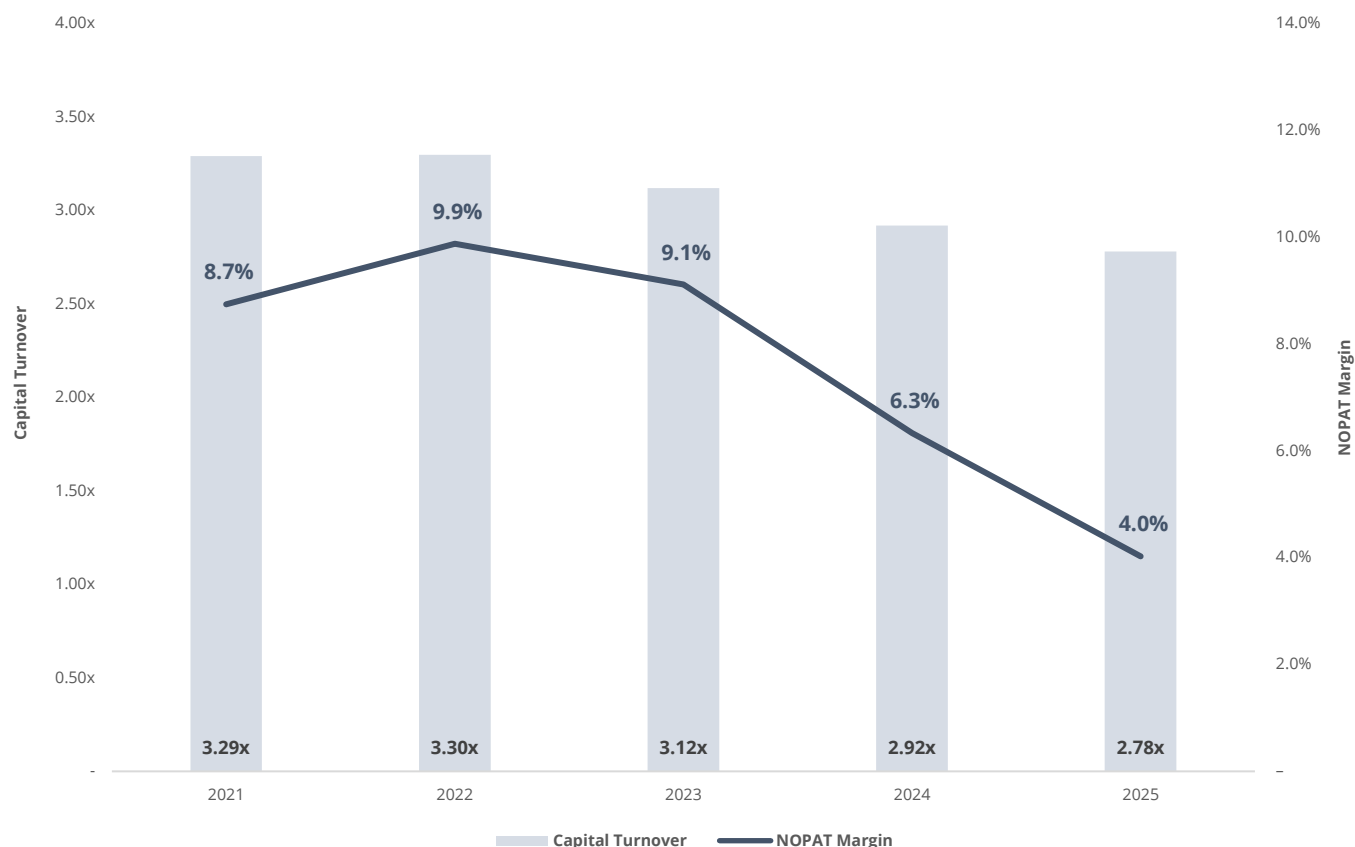


Exhibit 10 breaks the ROIC change into NOPAT margin and capital turnover.

The ROIC calculation captures the deepest economic consequence of the **2024–2025** downturn. Analytical Industrial ROIC fell from **32.6%** in **2022** to **11.2%** in **2025**. The math points mainly to the income statement: NOPAT Margin and Capital Turnover both declined, but profitability did most of the damage.

- **NOPAT Margin:** NOPAT margin fell from **9.9%** in **2022** to **4.0%** in **2025**. Pricing power and volume leverage weakened, taking the industrial profit margin with them.

- **Capital Turnover:** Capital efficiency also deteriorated, but by less. Capital turnover dropped from **3.30x** in **2022** to **2.78x** in **2025**. Average Net Assets stayed relatively stable at approximately **€40.9bn** in **2025**, so the revenue decline mechanically pushed turnover lower.

Analytical Industrial ROIC fell **7.3 percentage points** from **2024** to **2025**, from **18.5%** to **11.2%**. The decomposition points to collapsing operating profitability as the main driver, with weaker capital turnover a secondary drag. From **2022** to **2025**, NOPAT margin fell approximately **5.9 percentage points** and capital turnover declined by **0.52x**. The larger movement in profitability makes the ROIC decline primarily an income-statement problem rather than a sharp deterioration in asset efficiency.

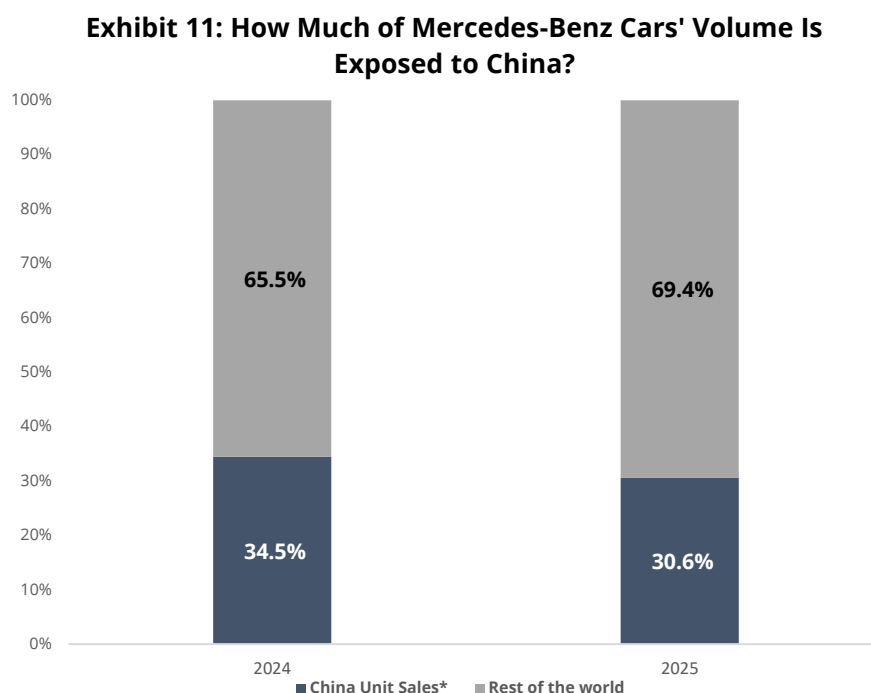
7. China Analysis

China was the largest geographic pressure point in **Mercedes-Benz Cars** in **2025**. Sales fell **19.2%** year over year, a decline of approximately **131,600** vehicles that represented around **72%** of the net global Cars volume contraction. The earnings effect was also material, although **Mercedes-Benz** does not disclose a standalone geographic P&L that allows the full China contribution to the **€3.9bn** Cars adjusted EBIT decline to be isolated.

7.1 Volume Contraction and Competitive Dynamics

The unit data make China's weight in the global decline hard to miss:

- China Car sales: **683,568** in **2024** to **551,932** in **2025** (**-19.2%**)
- Global Car sales: **1,983,403** in **2024** to **1,801,291** in **2025** (**-9.2%**)
- China's share of global Car sales: **34.5%** to **30.6%**



*China unit sales include vehicles sold by Beijing Benz Automotive Co., Ltd. (BBAC), an equity-method investment.

Exhibit 11 brings China's unit sales and its share of global Cars volume into a single view.

China represented only about **31%** of **2025** Cars unit sales, yet it generated approximately **72%** of the net global Cars volume decline between **2024** and **2025**. That concentration is the key quantitative point.

Mercedes-Benz's disclosures tie the volume weakness to structural shifts and the rapid growth of new market participants in an increasingly competitive Chinese market.

7.2 The BBAC Equity and Component Channels

The China downturn enters the financial statements through more than one route. **Mercedes-Benz** does not disclose a clean consolidated revenue split between imported vehicles and BBAC-produced vehicles, and the reported China unit-sales figure itself includes vehicles sold by **Beijing Benz Automotive Co., Ltd. (BBAC)**, an equity-method investment. The disclosures do identify two measurable pressures: lower consolidated component business with BBAC and lower equity-method earnings from the joint venture.

Exhibit 12: The Dual Impact of the China Contraction

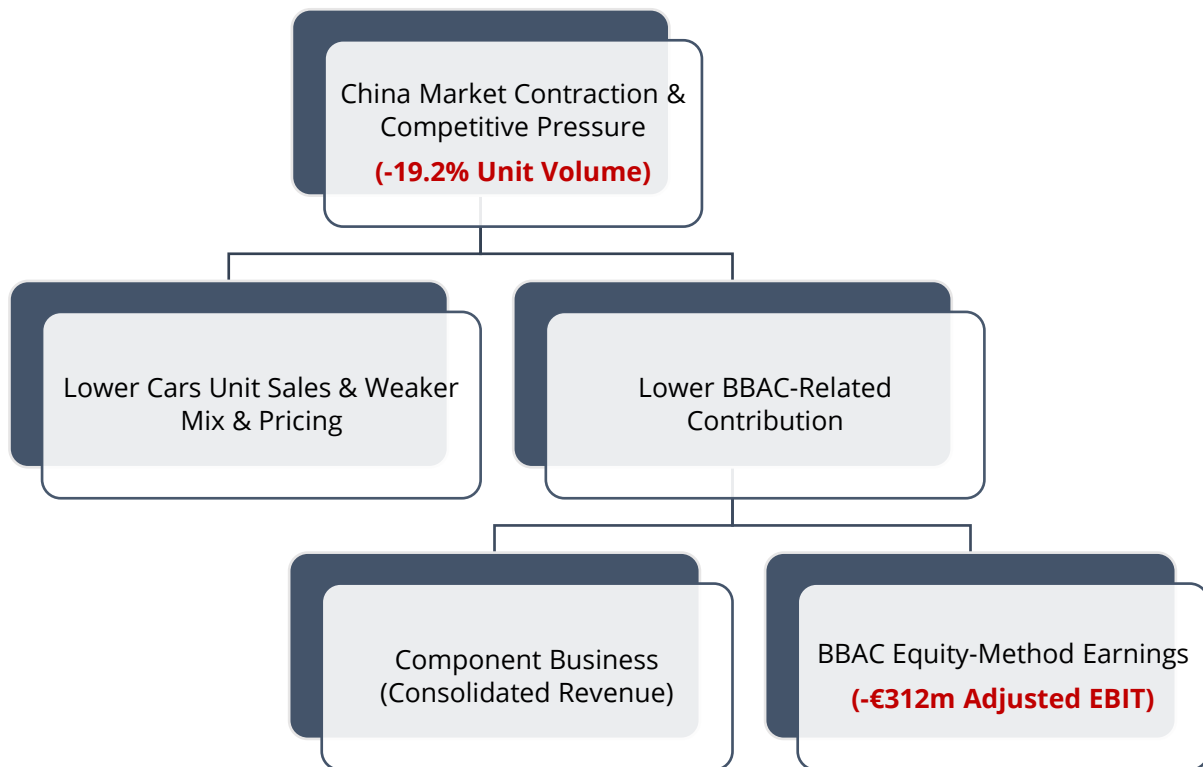


Exhibit 12 isolates those two quantifiable channels—the decline in China Cars unit sales and the contraction in BBAC equity-method earnings. The lower consolidated component-business channel remains separate because **Mercedes-Benz** does not disclose it as a standalone quantified amount.

- **Component business with BBAC:** This hits consolidated Group revenue directly. **Mercedes** explicitly cited lower component business with BBAC as a contributor to the **2025** revenue decline, but did not quantify the amount separately.
- **BBAC equity-method earnings:** This flows into Group EBIT through equity-method income. **Mercedes-Benz** reported a decline from **€1,073m** in **2024** to **€761m** in **2025**, a **-€312m** contraction.

7.3 Mix and Pricing Implications

China is a major market for **Mercedes-Benz's** Top-End portfolio. The **2025** decline could therefore hit both aggregate volume and global mix. When a market that has historically absorbed a meaningful share of Top-End production, including S-Class and Mercedes-Maybach, is hit by structural volume declines and intense competitive pricing, the pressure on global mix and average net pricing can be disproportionate.

The annual report does not isolate the region's exact EBIT contribution. Even so, the combination of a **19.2%** regional volume decline, roughly **72%** of global volume losses, intense domestic pricing pressure and a **€312m** direct contraction in BBAC equity earnings identifies China as a central pressure point in the **2025** margin deterioration.

8. Electrification: The Volume and Capital Mismatch

Mercedes-Benz's 2021 strategy targeted up to a **50% xEV** share by **2025**. By **2024–2025**, the target had been recast as up to a **50% xEV** share in the second half of the decade, with adoption pace tied explicitly to market conditions, infrastructure and customer preferences. The ambition to move toward an all-electric portfolio by **2030** where market conditions allow remained in place. The operating reality in **2024–2025** was slower global adoption than earlier industry projections, which forced more tactical flexibility across electric and combustion architectures.

8.1 BEV Sales and the 2025 Reality Check

The global passenger-car transition barely moved in absolute units in **2025**. xEV deliveries were **368,700**, versus **367,610** in **2024**, while xEV share of Cars sales rose from **18.5%** to **20.5%** mainly because total Cars volume fell **9.2%**. Regional performance diverged: Europe reached a **40%** xEV share, while Vans scaled its electrified range, lifting eVan unit sales **46%** to a **7.9%** share of Vans deliveries.

Exhibit 13: Did Mercedes-Benz Reach Its Original Electrification Ambition?

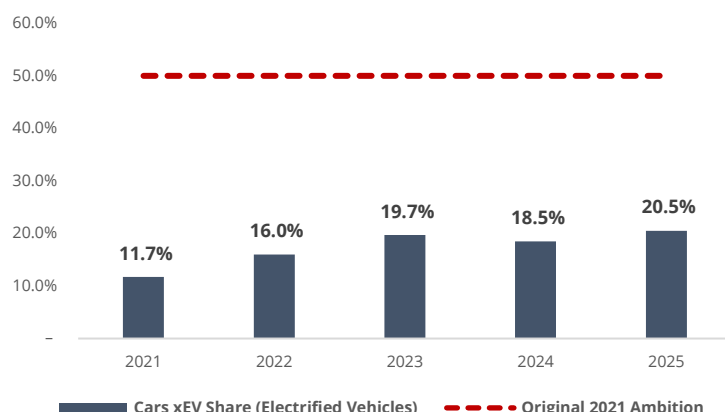


Exhibit 13 compares the original xEV ambition with the realized **2021–2025** path.

Pure BEV sales in Cars moved sharply lower. Deliveries rose from **89,500** units in **2021** to **149,200** in **2022** and **240,668** in **2023**, then fell **23.1%** to **185,059** in **2024** and another **8.8%** to **168,823** in **2025**. From the **2023** peak, BEV volume contracted **29.9%** over two years.

The mix of electrification shifted as well. BEV sales fell **8.8%** in **2025**, while PHEV sales rose **9.5%** to **199,877** units. The xEV share therefore increased to **20.5%** increasingly because of plug-in hybrids, not growth in pure BEV volume.

8.2 Capital Intensity and the Transition Burden

EV adoption came in below the earlier trajectory, but investment intensity stayed high. Group-wide PP&E and intangible-asset additions reached **€9.74bn** in **2025**, comprising **€5.482bn** of PP&E additions and **€4.260bn** of intangible asset additions. R&D expenditure remained near **€9.7bn**, at **€9.680bn** in **2025** versus **€8.541bn** in **2022**.

Exhibit 14: How Expensive Has the Product and Technology Transition Become?

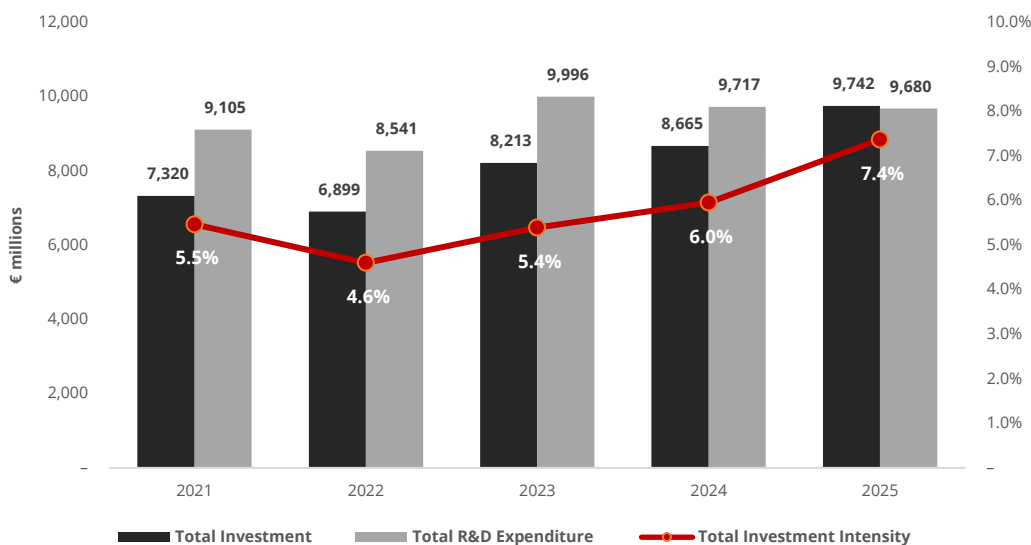


Exhibit 14 maps the rise in product and technology investment intensity.

The spending was broader than EV powertrains. In **2025**, **Mercedes-Benz** funded future architectures including MMA, MB.EA, AMG.EA and VAN.EA, alongside combustion-engine enhancements, battery supply arrangements and the MB.OS software platform. The company has stated that capex and R&D peaked in **2025** and should decline from **2026**. The **2025** peak still shows the burden of running electric and internal-combustion development paths in parallel.

Total Investment Intensity—Total Investment as a percentage of Group Revenue—rose from **4.6%** in **2022** to **7.4%** in **2025**. Both sides of the ratio moved against the denominator: absolute capital commitments rose while Group revenue fell from **€150.0bn** in **2022** to **€132.2bn** in **2025**.

8.3 Profitability Friction and Return on Capital

The friction in the **2025** financial profile is not simply that investment stayed high. The deeper issue is what the existing capital base is producing. Cars + Vans average net assets increased only modestly, from **€39.1bn** in **2022** to **€40.9bn** in **2025**, a **4.6%** increase. Combined automotive revenue fell from **€128.8bn** to **€113.6bn**, down **11.8%**.

Capital turnover consequently fell from **3.30x** to **2.78x**, while NOPAT margin dropped much harder, from **9.9%** to **4.0%**. Together, those moves cut Industrial ROIC from **32.6%** in **2022** to **11.2%** in **2025**. The capital cycle matters less because it inflated the asset base than because **Mercedes-Benz** must now earn an adequate return on a substantial existing commitment while navigating a slower, more capital-intensive technology transition.

9. Capital Allocation & Shareholder Returns

Cash generation fell sharply in **2025**, but the Group still entered the downturn with substantial industrial liquidity and continued to return capital while investing heavily. The tension is clear: can **Mercedes-Benz** fund the technology transition and still distribute cash as earnings weaken? In **2025**, cash generation contracted hard, industrial liquidity did not.

9.1 Industrial Free Cash Flow

Cars' margin compression flowed directly into cash generation. Reported Industrial Free Cash Flow (FCF) fell to **€5.414bn** in **2025** from **€9.152bn** in **2024** and the **€11.316bn** peak in **2023**. Adjusted Industrial FCF also fell, from **€9.421bn** in **2024** to **€5.856bn** in **2025**.

Lower inventories helped cash flow, but not enough. **Mercedes-Benz** highlighted the inventory benefit, yet the fall in operating earnings outweighed that working-capital release. Continued investment in PP&E and intangible assets remained a further use of cash.

9.2 Capital Allocation and Shareholder Returns

Industrial FCF contracted, but shareholder distributions did not stop. In **2025**, the Group paid **€4.14bn** in dividends to **Mercedes-Benz Group AG** shareholders and spent **€360m** on treasury-share acquisitions. Together, that was **€4.50bn**, or **83.1%** of reported Industrial FCF. A further **€183m** went to non-controlling interests. These **2025** cash flows mainly reflect the dividend for the **2024** financial year and treasury-share purchases executed during **2025**.

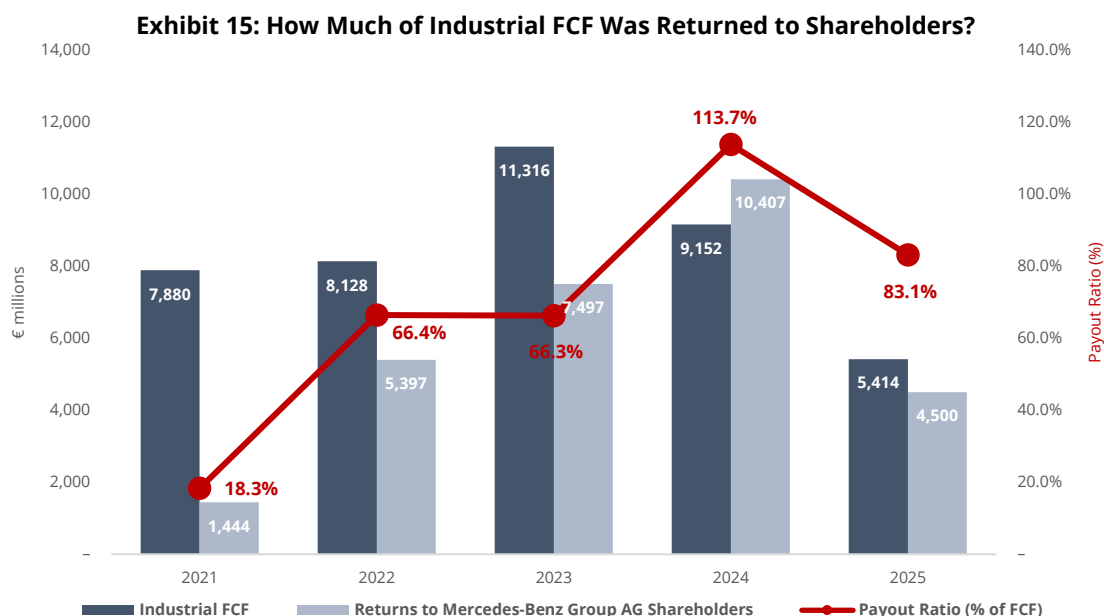


Exhibit 15 shows the portion of Industrial FCF returned directly to **Mercedes-Benz Group AG** shareholders.

For the **2025** financial year, **Mercedes-Benz** proposed a **€3.50** per-share dividend, down from **€4.30** for **2024**. The Annual General Meeting approved the dividend on **16 April 2026**, payment followed on **21 April 2026**.

Mercedes-Benz launched a new share buyback program of up to **€2.0bn** in **November 2025**. Approximately **€300m** had been executed by year-end, while the consolidated cash-flow statement showed **€360m** of total treasury-share acquisitions during **2025**. *

*Subsequent event: The **November 2025 €2bn** buyback program was completed on **1 June 2026**.

9.3 Industrial Liquidity and Financial Flexibility

The operating downturn did not become a liquidity problem. Net industrial liquidity increased to **€32.2bn** at year-end **2025** from **€31.4bn** in **2024**, despite **€5.4bn** of Industrial FCF, **€9.7bn** of PP&E and intangible-asset investment and **€4.5bn** of direct returns to **Mercedes-Benz Group AG** shareholders.

Industrial liquidity rose through the downturn. **Mercedes-Benz** funded substantial investment and shareholder distributions while keeping Industrial FCF positive and increasing net industrial liquidity. The point is simple: profitability weakened, but financial flexibility remained substantial.

Exhibit 16: How Has Mercedes-Benz's Industrial Liquidity Evolved?

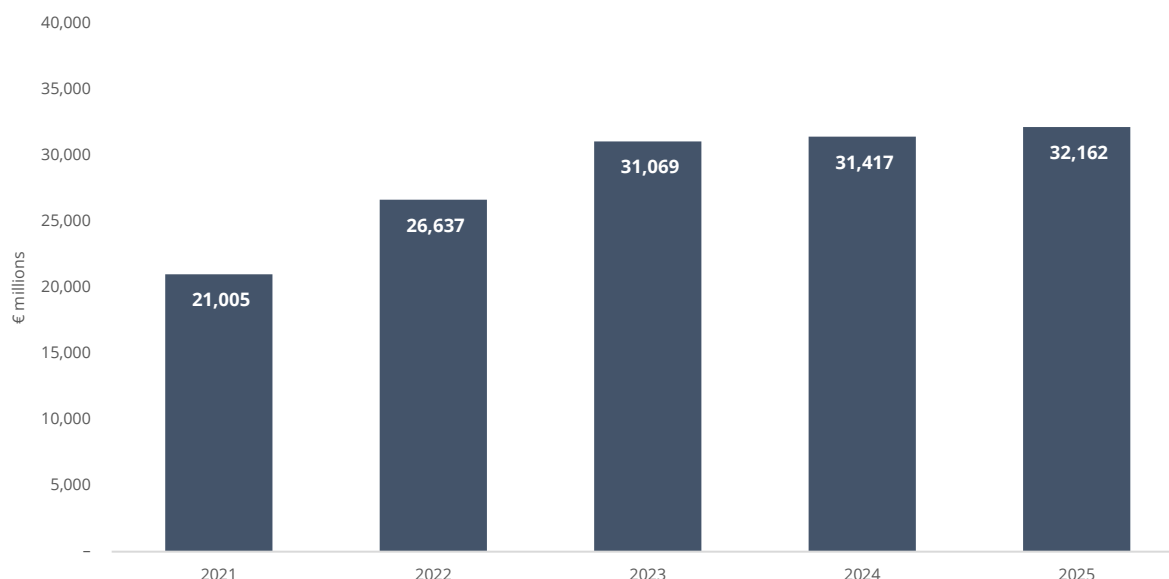


Exhibit 16 tracks net industrial liquidity through the downturn.

10. Working Capital and Cash Conversion

The sharp fall in operating margins, discussed in **Section 6**, reduced the absolute amount of FCF in **2025**. That does not tell the whole cash story. The relevant question is how much of the remaining accounting profit is converting into cash. Working capital helped in **2025**, most visibly through lower inventory balances.

10.1 Adjusted Cash Conversion Rate: A Segment Divergence

Mercedes-Benz measures segment cash efficiency through the Adjusted Cash Conversion Rate (CCR), defined as adjusted cash flow before interest and taxes (CFBIT) divided by adjusted EBIT.

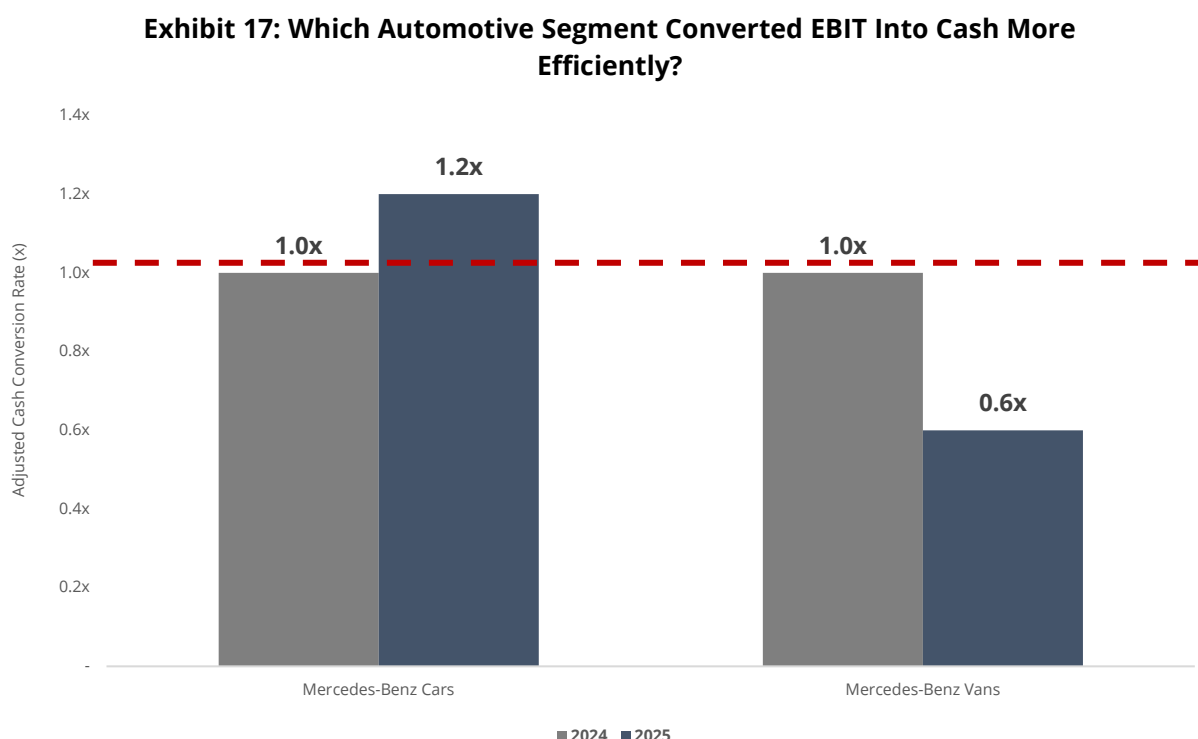


Exhibit 17 compares adjusted CCR for Cars and Vans.

- **Mercedes-Benz Cars:** Adjusted CCR rose to **1.2x** in **2025** from **1.0x** in **2024**. The **1.2x** ratio means Cars generated adjusted cash flow above adjusted EBIT despite the earnings decline in **2025**. Cash conversion was not the main constraint on the segment's **2025** result, changes in net assets and other cash-flow items more than offset accounting EBIT in the adjusted CFBIT calculation.
- **Mercedes-Benz Vans:** Adjusted CCR fell from **1.0x** in **2024** to **0.6x** in **2025**. The lower ratio reflects weaker earnings conversion alongside substantial investment in the new Van Architecture and global production footprint.

10.2 Analytical Cash Conversion Cycle

The Group-level working-capital data tell the same story. The project's analytical Cash Conversion Cycle (CCC) improved from **64.0 days** in **2024** to **60.2 days** in **2025**, driven mainly by lower inventory and receivable days while payable days stayed broadly stable.

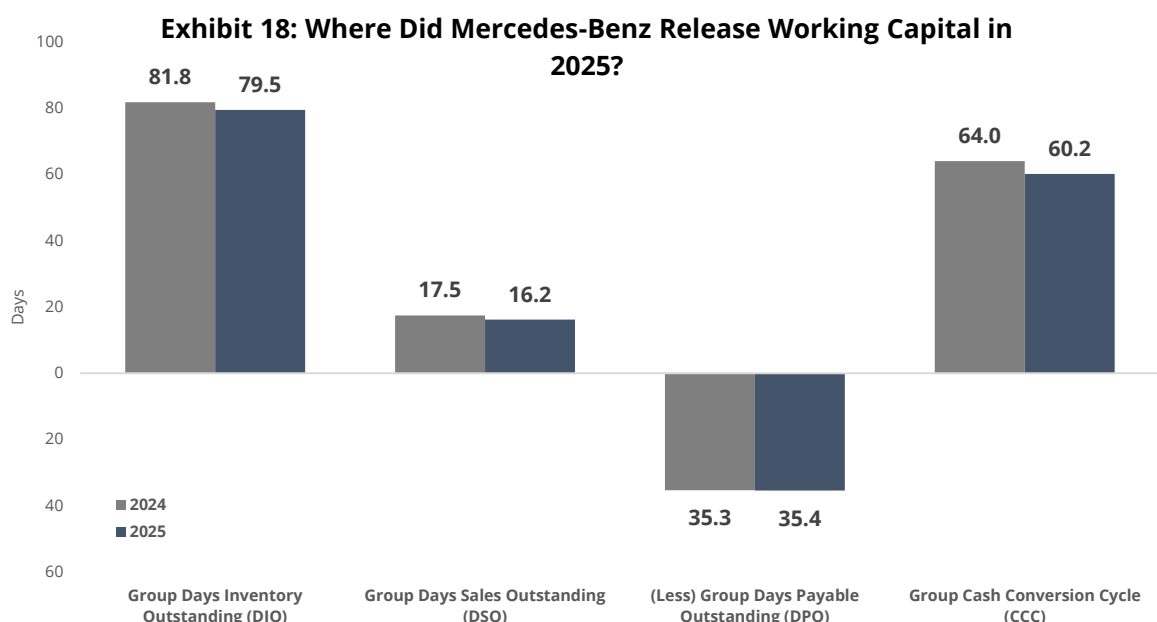


Exhibit 18 shows the **2024–2025** working-capital bridge through DIO, DSO and DPO.

- **Inventory:** The largest release came from inventory. Year-end inventory fell from **€26.2bn** to **€23.9bn**, while analytical DIO improved from **81.8** to **79.5 days**.
- **Receivables:** Days Sales Outstanding (DSO) declined from **17.5** to **16.2 days**, so trade receivables represented a smaller share of annual Group revenue at year-end **2025**.
- **Payables:** DPO was essentially unchanged at **35.4 days** versus **35.3 days** in **2024**. The CCC improvement was not the result of materially extending supplier payment periods.

10.3 Analytical Conclusion

The analytical CCC improved from **64.0** to **60.2** days, while Cars posted a **1.2x** adjusted CCR. Working capital and cash conversion therefore provided a real buffer in **2025**. The fall in Industrial FCF cannot be pinned on weaker working-capital efficiency alone. Lower operating earnings and continued PP&E and intangible-asset investment were the dominant constraints on absolute cash generation, lower inventory was an important release as the Group adjusted to weaker demand.

The **2025** cash problem was not a breakdown in working-capital discipline. Cars actually improved on cash conversion. The larger issue was the much weaker earnings base, while investment requirements stayed elevated.

11. Peer Comparison: The Premium Benchmark

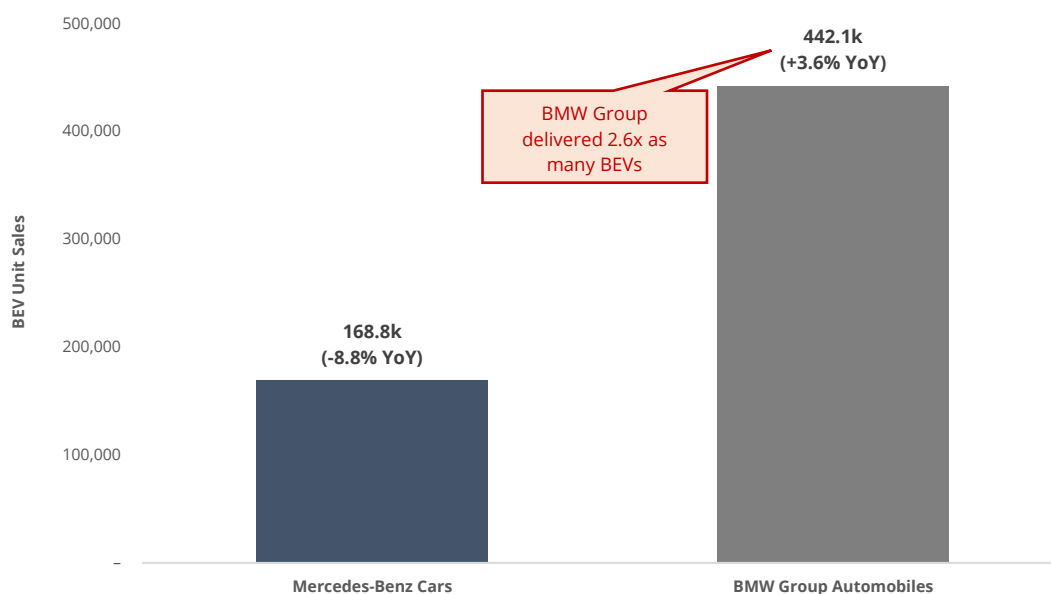
A stand-alone look at **Mercedes-Benz's 2025** operating profile can overstate company-specific causes by mixing them with industry-wide pressure. To separate the two, this analysis benchmarks **Mercedes-Benz Cars** against the BMW Group's automotive segment, its closest historical premium rival.

The **2025** peer data show a real split. Both companies faced China pressure and a less forgiving pricing environment. BMW Group nevertheless held overall automobile volume broadly intact and grew BEV deliveries, while **Mercedes-Benz Cars** contracted more sharply on both measures.

11.1 Total Volume and the Electrification Gap

The clearest gap was volume stability in **2025**. **Mercedes-Benz Cars** fell **9.2%** to **1.80 million** units. BMW Group Automobiles, by contrast, held global deliveries broadly flat at approximately **2.46 million** units, up **0.5%** year over year.

Exhibit 19: How Wide Was Mercedes-Benz's 2025 BEV Gap to BMW?



*BMW Group figures refer to the Group's Automobiles business, including BMW, MINI and Rolls-Royce, Mercedes-Benz figures refer to Mercedes-Benz Cars.

Exhibit 19 compares **2025** BEV deliveries for the two groups.

BEV trajectories explain much of the gap. As detailed in **Section 8, Mercedes-Benz Cars** BEV deliveries fell **8.8%** in **2025** to **168,823** units. BMW Group BEV sales increased **3.6%** year over year to **442,059** units.

BMW therefore sells roughly **2.6x** as many pure electric vehicles globally as **Mercedes-Benz Cars**. Weaker consumer demand by itself does not fully account for the **Mercedes-Benz** decline. BMW's continued BEV growth points to product portfolio, model timing, geographic exposure and competitive positioning as additional factors, although the available data do not isolate each one.

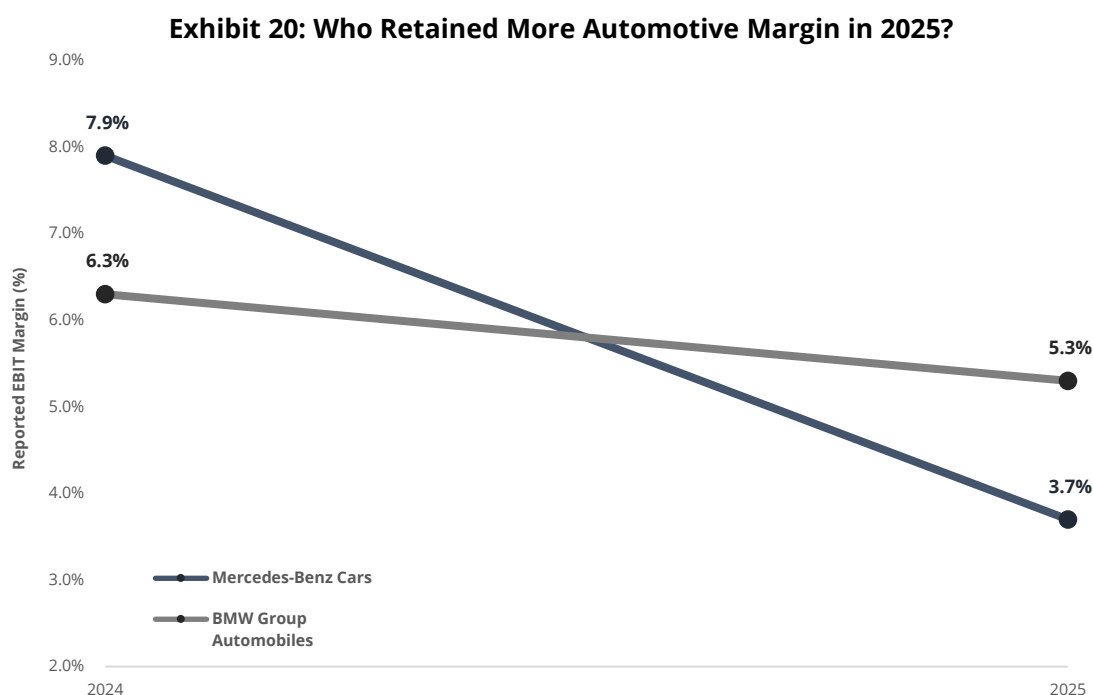
11.2 The China Stress Test

China was a major pressure point for both companies in **2025**. Both saw material regional declines, consistent with the rise of domestic competitors and intense pricing pressure as industry-wide headwinds.

The exposure was not the same. BMW Group deliveries in China fell **12.5%** to approximately **626,000** units. **Mercedes-Benz Cars** fell **19.2%** to **551,932** units. The China contraction was therefore materially steeper for **Mercedes-Benz**, reinforcing the view that the region was a more severe operating pressure point for **Mercedes** in **2025**.

11.3 Profitability and Margin Compression

Margin compression was broad across both companies in **2025** as the post-pandemic pricing environment normalized. BMW Automotive EBIT margin fell from **6.3%** in **2024** to **5.3%** in **2025**. **Mercedes-Benz Cars**' reported EBIT margin fell from **7.9%** to **3.7%**. The magnitude of the decline was therefore much larger at **Mercedes-Benz** during **2025**.



*BMW Group figures refer to the Group's Automobiles business, including BMW, MINI and Rolls-Royce, Mercedes-Benz figures refer to Mercedes-Benz Cars.

Exhibit 20 compares reported automotive EBIT margins for **Mercedes-Benz Cars** and BMW Automotive.

Mercedes-Benz's adjusted RoS was **5.0%** in **2025** versus a reported EBIT margin of **3.7%**, the latter includes adjustment items.

11.4 Analytical Conclusion

The **2025** deterioration at **Mercedes-Benz** is not explained by industry conditions alone. BMW faced the same broad China and pricing backdrop, yet maintained global volume, increased BEV deliveries and saw a materially smaller decline in reported automotive margin. The comparison points to **Mercedes**-specific factors—its product cycle, China exposure, pricing performance and BEV trajectory—as amplifiers of the broader industry headwinds.

12. Outlook and Valuation

12.1 2026 Operating Outlook

Following the mid-year updates, **Mercedes-Benz** expects **2026** Group revenue and Cars unit sales to finish slightly below **2025** levels. Cars profitability remains constrained. Management held the **2026** Adjusted Return on Sales (RoS) guidance at **3% to 5%**, but explicitly anchored expectations to the lower half. Vans remains more resilient, with management retaining its **8%–10%** adjusted RoS guidance. Financial Services adjusted ROE guidance was raised to **12%–14%**, from **10%–12%** previously.

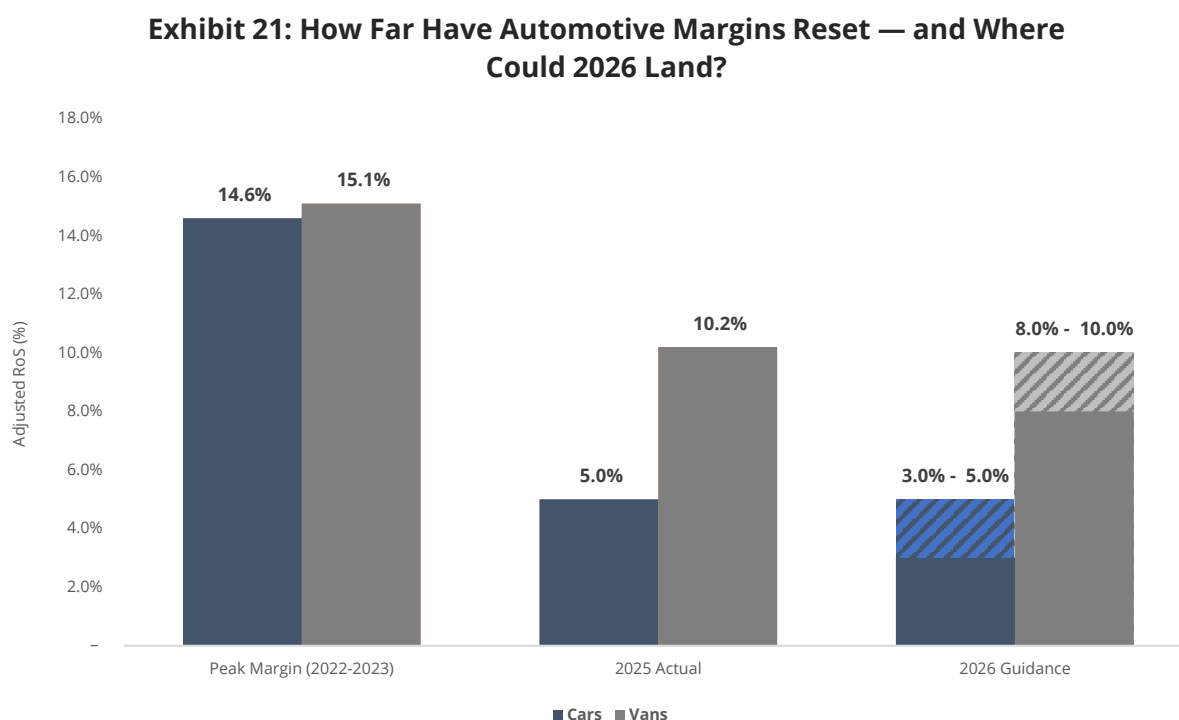


Exhibit 21 places the historical Cars and Vans margins against those **2026** ranges.

Third-quarter operating data provide stronger evidence that the new product cycle is gaining traction, particularly in electrification. Group BEV sales rose **52%** year on year to **78,100** units, while **Mercedes-Benz Cars** achieved a record quarterly BEV volume of **68,400** units, up **61%**. Cars xEV share reached **25.0%** in **Q3**, equal to the upper end of management's **23%–25%** full-year guidance. Demand for the new electric portfolio is strong: the electric GLC, CLA, GLB and GLA are sold out in Europe for the remainder of **2026**, with order books extending into **2027**.

The geographic split remains highly uneven. Outside China, Cars sales increased **1%** in **Q3**, supported by Europe **(+5%)** and North America **(+4%)**, with U.S. sales specifically rising **6%**. Despite that improvement outside China, global Cars sales still fell **8%** to **407,200** units, reflecting the continued drag from China. China Cars sales declined **31%** in **Q3** and **29%** in the first nine months, more than offsetting the gains in Europe and North America. The **Q3** data sharpen the current operating picture: **Mercedes-Benz** is gaining meaningful traction with its new electric portfolio, particularly outside China, but the continued contraction in China remains the principal constraint on overall Cars volume.

12.2 Capital Position and Shareholder Returns

The Group is funding the product and technology cycle from a still-large liquidity base. Net industrial liquidity rose to **€33.8bn** at the end of **Q1 2026**, then fell to **€30.4bn** at the end of June after approximately **€5bn** of dividend payments and share repurchases in the first half.

In **April 2026**, **Mercedes-Benz** paid a **€3.50** per-share dividend for the **2025** financial year, versus **€4.30** for the **2024** financial year paid in **2025**.

The **€2bn** buyback launched in **November 2025** finished in **June 2026**, with **Mercedes-Benz** repurchasing **37.6m** shares for approximately **€2.0bn**. A further **€1.0bn** share buyback program began on **1 September 2026** and is scheduled to run through **6 April 2027**. As of **2 October**, **Mercedes-Benz** had repurchased **3.85 million** shares for **€171.3m**.

The continued buyback program indicates that shareholder distributions remain an active capital-allocation priority, although its effect on **Q3** liquidity and free cash flow cannot yet be assessed before the interim financial statements.

12.3 Valuation Framework

At the **7 October 2026** share price of approximately **€39.8**, **Mercedes-Benz** trades at roughly **7.5x 2025** reported earnings of **€5.34** per share. The **€3.50** dividend for the **2025** financial year implies an indicated dividend yield of approximately **8.8%** at that share price. These headline multiples put the company on a materially lower earnings base than in **2022–2023**, but they do not settle whether today's earnings level is cyclical or structurally lower.

The valuation variables are specific: sustainable Cars adjusted RoS, the path of China volumes and pricing, the ability of the new product cycle to convert stronger BEV demand into broader vehicle volumes, the normalization of investment intensity, and the degree to which Vans and Financial Services can diversify Group earnings.

12.4 Investment Questions / Outlook

The medium-term question is whether MB.EA, AMG.EA and VAN.EA, together with the associated product launches, can convert the early recovery in BEV demand into broader vehicle volumes, sustainable margins and improved returns on capital in an increasingly competitive EV market.

The **Q3** data suggest that the new product cycle is beginning to generate meaningful demand, particularly in BEVs and markets outside China. The unresolved valuation question is whether that demand can translate into higher overall volumes, sustainable Cars margins and improved ROIC while China remains under severe pressure and investment intensity remains elevated.

Sources and Methodology

This report is based on a combination of company-reported financial information, project-model calculations, publicly available investor disclosures and selected peer and market-data sources. The project Excel financial model is the quantitative working file from which the report's analytical calculations and exhibits are derived. This report is the analytical and presentation layer. Company-reported figures are not treated as interchangeable with project-derived analytical metrics.

Primary Company Sources

The primary source set for **Mercedes-Benz Group AG** consists of the following official company publications:

Mercedes-Benz Annual Report 2021

Mercedes-Benz Annual Report 2022

Mercedes-Benz Annual Report 2023

Mercedes-Benz Annual Report 2024

Mercedes-Benz Annual Report 2025

Mercedes-Benz Group Interim Report Q1 2026

Mercedes-Benz Group Interim Report Q2 2026

Mercedes-Benz Group Q3 2026 Sales Release — 7 October 2026

Publication Date

The report is dated **October 2026** and incorporates information publicly available through **7 October 2026**, including the **Mercedes-Benz Q3 2026 sales disclosure** and subsequent **2026** corporate disclosures referenced in the report, including the **September 2026** share-buyback program. The **Q3 2026 Pre-Close Call** is scheduled for **8 October 2026**, while the **Q3 2026 Interim Report** is scheduled for **28 October 2026**, neither is incorporated into the analysis which has an information cut-off of 7 October 2026.

Later developments, including the **Q3 2026 Interim Report** scheduled for **28 October 2026**, may cause guidance assumptions, valuation inputs or forward-looking conclusions to change.

Disclosures and Disclaimer

This report has been prepared for **informational and analytical purposes only**. It is not intended to constitute investment advice, financial advice, an offer to sell, a solicitation to buy, or a recommendation regarding the securities of **Mercedes-Benz Group AG** or any other issuer.

Forward-looking statements and guidance discussed in this report are based on information publicly available at the stated publication date and are subject to risks, uncertainties and changes in the assumptions underlying **Mercedes-Benz Group AG's** outlook.

The report does not express a buy, hold or sell recommendation and does not provide an investment rating, target price recommendation or expected-return forecast.

Readers are responsible for their own investment decisions and should consider the complete set of primary company filings, market information, risk factors and other relevant evidence before acting on any information contained in this report.